Purchase of super profit method

7. From the following details, calculate the value of goodwill at 2 years purchase of super profit:

(a) Total assets of a firm are ₹ 5,00,000
(b) The liabilities of the firm are ₹ 2,00,000
(c) Normal rate of return in this class of business is 12.5 %.
(d) Average profit of the firm is ₹ 60,000.

(Answer: Super profit: ₹ 22,500; Goodwill: ₹ 45,000).

8. A partnership firm earned net profits during the last three years as follows:
2016 : ₹ 20,000; 2017 : ₹ 17,000 and 2018 : ₹ 23,000

The capital investment of the firm throughout the above mentioned period has been ₹ 80,000. Having regard to the risk involved, 15% is considered to be a fair return on capital employed in the business. Calculate the value of goodwill on the basis of 2 years purchase of super profit.

(Answer: Super profit: ₹ 8,000; Goodwill: ₹ 16,000)

Annuity method

9. From the following information, calculate the value of goodwill under annuity method:

(i) Average profit	₹ 14,000
(ii) Normal Profit	₹ 4,000
(iii) Normal rate of return	15%
(iv) Years of purchase of goodwill	5

Present value of ₹ 1 for 5 years at 15% per annum as per the annuity table is 3.352

(Answer: Super profit: ₹ 10,000; Goodwill: ₹ 33,520)

Capitalisation of super profit method

10. Find out the value of goodwill by capitalising super profits:

(a) Normal Rate of Return 10%
(b) Profits for the last four years are ₹ 30,000, ₹ 40,000, ₹ 50,000 and ₹ 45,000.
(c) A non-recurring income of ₹ 3,000 is included in the above mentioned profit of ₹ 30,000.
(d) Average capital employed is ₹ 3,00,000.

(Answer: Average profit: ₹ 40,500; Super profit: ₹ 10,500; Goodwill: ₹ 1,05,000)

Capitalisation method

11. From the following information, find out the value of goodwill by capitalisation method:

(i) Average profit ₹ 20,000
(ii) Normal rate of return 10%
(iii) Capital employed ₹ 1,50,000

(Answer: Total capitalised value: ₹ 2,00,000;
Goodwill: ₹ 50,000)

12th-Accountancy-Unit-04.indd 135 1/4/2020 12:03:13 PM